CHAPTER 6

Investigative Investing: Themes and Methods for Uncovering Value

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Today we live in a world where traders can easily buy and sell three- or four-letter stock tickers with a click of the mouse. What is often forgotten is that these symbols represent real businesses that employ workers and produce revenues and products that fulfill a particular need. By discovering these companies and each of their stories before the public becomes aware of them, an astute investor can capitalize on market inefficiencies and generate strong risk-adjusted returns.

However, fundamental investing requires a lot of hard work. The quest to find the next winner is a constant treasure hunt. One has to turn over many stones before discovering the nuggets hidden beneath the dirt. The good news is that the tools and skills necessary to be successful are readily available to the investor who is willing to go that extra mile and investigate a lead. Wall Street analysts have traditionally shown a linear bias when projecting future earnings growth, utilizing the same growth rate based on historical numbers and assuming lackluster growth during times of difficulty. With dynamic markets and changing business conditions, these linear projections may be insufficient to adequately value a company's future prospects.

At my firm, we begin with the premise that all businesses are cyclical. We center our investment strategy around capturing inflection points in a company's business cycle, leveraging our knowledge of supply chain dynamics and product cycles to pursue the best investment opportunities. Our research process carefully examines a product's life cycle: from concept to development, raw materials to finished product, and the translation into revenue generation and cash flow. We believe analysis of the

underlying fundamentals driving the business leads to greater insight and discovery of untapped opportunities.

Unfortunately, good opportunities do not readily present themselves—they must be searched for actively. With literally thousands of potential candidates, investors must carefully sift through them to uncover the ones that warrant a more thorough look. Luckily there are methods to effectively generate a short list of investment ideas on which to focus.

With a list of prospects in mind, the determined investor must then delve further to accurately assess those opportunities. At this stage, we find that passive information gathering is often insufficient to obtain the full picture, and direct access to a company's management and other market players is warranted. We spend additional time cultivating contacts by attending industry trade shows, viewing product demos, and sharing information among the network we have developed over the past seven years. Often one idea inspires us to look in the same direction to find another opportunity.

After speaking with the management team of a prospective investment, we develop an investment thesis that lays out a road map that can be independently verified with third party sources such as customers, suppliers, and distributors. The investment thesis provides a valuation model that we then assess against the FACTS (explained in detail later) and compare to our investment objectives. This approach provides us with a suitable pipeline of qualified prospects, not yet recognized by the general market, that can lead to strong risk-adjusted returns.

GENERATING THE IDEA

With so many possible stocks to look for, where does an investor begin to look for new ideas?

While each investor generally approaches idea generation from a different perspective, I will describe some of the tools and methodologies we have used at my firm to enhance our idea generation.

Stock Screens

With over 10,000 publicly traded companies, stock screens help to filter out the noise to find the names with the greatest likelihood for success. We look at the following criteria to help narrow our focus:

- *The company's 52-week highs and lows.* Companies make new highs and lows for a reason. A company that is beginning to consistently

break new highs may attract new buyers due to the strong underlying fundamentals. Alternatively, if a company stabilizes after hitting a new low, it might indicate that the bad news is sufficiently reflected in its new low price. Both scenarios offer fertile ground for the investor to seek potential investment ideas.

- *Stocks between $5 and $10.* Most institutions are precluded from buying stocks below $5. When a company breaks the $5 mark for the first time, it might attract new institutional sponsorship. If we can confirm that this move is the result of solid fundamentals, we can capture the next phase of growth.
- *Price to earnings (P/E) multiple lower than earnings growth rate.* Earnings multiples reflect investors' perceptions of a company's expected future growth rate. When a company's earning multiple trades at a discount to its growth rate, it implies that investors do not believe that the growth rate is sustainable. Over time, as a company executes, that discount will shrink, which makes this screen quite effective as a source of new ideas.
- *Companies with expanding margins.* Analysts often underestimate the impact of operating leverage in a company's business model. A company that can consistently increase its gross margin will see strong operating leverage as its revenues accelerate. Often turnarounds will fit this category as management finds ways to reduce costs.
- *Companies with financial flexibility.* Companies with high cash balances and no debt have the financial flexibility to execute their business plans.
- *Market capitalization between $50 million and $5 billion.* Microcap and small-cap companies are usually underfollowed by Wall Street analysts, allowing the astute investor to get an early look before they are discovered by the larger institutional funds. From a practical standpoint, it is often easier to do trade checks on micro- and small-cap companies because they tend to have fewer product categories and concentrate more on domestic business, making it easier to independently verify management's story by channel-checking with a few distributors.

Earnings Reports

A company's earnings report provides a quarterly report card as to the health of its business. On a daily basis, we actively scan the press releases of companies that are reporting earnings. These earnings reports provide a snapshot as to the past execution and future direction of a company's business strategy.

We look specifically for key themes such as new products, new management, and expanding margins. We pay attention to anything reported that reflects a change from the status quo. We look for major balance sheet changes, quarter over quarter. Has there been a financial restructuring or write-off that may impact the company's prospects down the road?

We examine management's tone, noting whether they appear cautious or bullish, and especially the reasons behind it. We are extremely interested in companies that exceeded or missed consensus estimates by greater than 5 percent. When a company is able to exceed consensus estimates by more than 5 percent, it implies that analysts may have underestimated how the leverage in the company's business model would benefit as the revenues accelerated. Contrast that with a company that misses a consensus estimate due to the temporary slippage of a deal from the current quarter to the next. Analysts may have underestimated the impact the loss of revenues would have over the fixed costs of the business. Both cases imply misunderstood opportunities that can be capitalized on. Later I illustrate an example that shows how an investor can take advantage of a misunderstood story to maximize profits.

Conference Calls

Company conference calls provide additional information that earnings press releases may not fully disclose. Although we encourage investors to participate in real-time earnings calls, the reality is that conference calls are time consuming.

Fortunately, there are two useful transcript services that allow investors to cover a broader universe efficiently: Thompson Street Events (www.streetevents.com) and Call Street (www.callstreet.com). The services cover 80 percent of all earnings call webcasts, allowing investors to save time and jump directly to the highlights.

Publications and Journals

The best ideas can be derived from simply reading a diverse set of publications. Reading these journals provides an overview of industry dynamics that may inspire or confirm an investment thesis. Depending on your interests, there is probably a trade journal, or specialized publication that focuses on one sector. *Purchasing Magazine* is one source that is quite helpful. This industry journal, for chief procurement officers and supply chain executives, provides a good overall picture of various inputs that make up the U.S. economy.

Trade organizations often do informal surveys among their members on the various moving parts that affect their industry. They are waiting for

you to pick up the phone and call them to let them voice their views about a particular issue or company.

Today the prevalence of online tools simplifies an investor's information gathering abilities. Investors can directly subscribe online to local and regional newspapers as well as use information aggregators such as LexisNexis and HighBeam Research to scan for news. Often the most interesting section of these papers is where they profile new promotions and executive movements for companies you may be interested in. It only takes a few minutes of your time to call the executive and congratulate him on his new position, but that may give you an important lead that may confirm your investment thesis.

Insider Activity

While insiders may have various reasons to sell stock, they have only one reason to buy: to make money! Following are a few web sites that provide data feeds and filtering for insider activity:

www.insider-transactions.com
www.insidersignal.com
www.form4oracle.com
www.insiderbuying.com
www.realtimeinsider.com
www.secform4.com
finance.yahoo.com

When looking at insider activity, we give more credence to companies that have a variety of executives buying at the same time. Often you will see the chairman of the board or the president of the company buying shares that are only a small percentage of their overall shareholdings, making the purchase less meaningful. However, when we observe vice presidents and lower-level executives committing their hard-earned cash to open market purchases, or when we see an executive's purchase exceed 10 percent of his current shareholdings, it becomes quite valuable to note.

Interviewing Management Teams

Once a list of prospective names is created, we begin setting up half-hour phone interviews with either the company's chief financial officer or the director of investor relations. The purpose of these interviews is to gauge

whether it is worth doing more fundamental work on the company. In today's world of Regulation FD (Fair Disclosure), management teams cannot disclose any new information that has not been previously disclosed in a public forum without violating the law. Therefore, one cannot simply ask questions like "How is the company doing?" or "How much are you going to beat the quarter by?"

It is important to develop an interactive relationship with management so that the conversation becomes an exchange of ideas rather than one-sided question-and-answer sessions. While there is no one direct checklist of questions to ask, we generally frame our questions so that we can understand what inputs will drive success in the business. The following are some examples:

- Please give us an overview of your strategic plan for this current year and what are some of the internal and external factors you will watch for in order to be successful in its execution.
- At this point last year, when you drew up your business plan, were you tackling the same issues as you experienced this year, and if so, what ultimately changed the most between what you planned for and the final result?
- Who are the most knowledgeable analysts who cover your company and what distinguishes them from their peers?
- If you were to beat the consensus numbers, what would be the primary sources—would it come from revenue acceleration or operating leverage?
- Are there any revenue opportunities that have not been factored in guidance that could potentially be realized in the next 12 to 18 months?
- Can you give us a few customer references who can speak to why they have a positive relationship with your company?
- Has there been any major turnover in key employees over the past 18 months?
- How does management communicate its story with investors? Is the company active in participating in sell-side analyst conferences?
- How are both lower-level and senior-level management compensated? What metrics does the company use to judge an employee's success/productivity?
- most and what have you learned from them?
- Talk about a deal that you have won recently and what factors allowed you to win. Did you beat a competitor out for the deal, or was it single sourced?
- Talk about a deal you have lost versus the competition and what factors led to its failure.
- When will you walk away from a deal?

- Describe the seasonality in your business.
- At what rate are you growing relative to the marketplace you participate in? Is the opportunity great enough to sustain multiple competitors, or will growth come solely from market share gains?
- Help us understand the inputs that comprise your business. What are the most important raw materials and costs you need to secure in order to maintain a healthy operating margin?
- What is the impact of currency fluctuation and energy costs on your earnings?

Be prepared for the fact that for every 25 interviews you conduct, only one company might ultimately fit into the portfolio.

UNDERSTAND WHAT TYPE OF STOCK YOU ARE INVESTING IN

Different stocks attract different investors based on their profiles. We group our stocks into three categories: growth, value, and turnarounds.

A *growth* company typically exhibits strong revenue acceleration as a result of a new product cycle. Growth investors are willing to pay a premium for companies that consistently execute to the strength of their product cycle. Often these are new businesses that experience significant margin expansion as their business model develops. For these companies, seasonality plays less of a role, as they are growing from a small revenue base. Instead, sequential quarterly revenue growth is more important in maintaining a premium growth multiple.

A *value* company typically trades at a discount to liquidation value. This may be comprised of a strong cash position, low debt, assets carried at book value, or a discounted earnings multiple, relative to its growth rate. It is often said that value is in the eyes of the beholder, so we must bear in mind that cheap companies may remain cheap for many years if there is no spark to help others recognize their value.

It is entirely possible that companies that were once value stories can turn into growth stories if the right catalysts are in place. A good example of such a *turnaround* company is Apple Computer. Back in 2002, Apple was trading close to the value of its cash on its balance sheet. The company had no debt and was clearly cheap by every traditional valuation metric. Yet investors continued to sell shares due to the perception that Apple would continue to lose its diminishing market share to the Windows-Intel (Wintel) PC platform. Despite new products like the iPod digital music players, Apple's PC market share continued to decline. A leading

PC manufacturer's executives even suggested at an industry conference that the best thing Apple could do would be to liquidate and shut itself down before the market would do it for them.

In 2003, Apple opened the iTunes online music store. Without the success of the iTunes online store, investors who bought Apple because of its balance sheet value would have owned a company that remained cheap due to a lack of growth prospects. Apple's market value might still be languishing at cash if not for iTunes.

The success of the iTunes music downloading service was the catalyst necessary to generate iPod sales and reignite Apple's revenue growth. The same investors who abandoned Apple when it was trading at cash were now willing to pay a premium growth multiple once revenues accelerated again. Indeed, things change rapidly in the market based on perceived reality. While the E of an earnings ratio can be controlled by a company's fundamental execution, the P reflects the price multiple investors are willing to pay for that growth. It is the P that fluctuates constantly when perceptions change.

When timed correctly, a value company with a turnaround profile is the most successful investment. But before investing in a turnaround stock, investors must first understand the reasons behind why a company became cheap and out of favor in the first place.

As previously discussed, growth investors had abandoned Apple as its market share continued to decline versus the Wintel juggernaut. Today everyone knows what an iPod is, but in 2001, the initial release of the iPod was considered unsuccessful. Despite this, Steve Jobs, Apple's visionary leader, was busy negotiating with the music labels to provide a legalized form of online downloads for songs, to combat against the widespread piracy caused by file sharing services such as Napster and Kazaa.

In 2003, the iTunes online music store was introduced, becoming the first legalized online music store to allow users to download individualized music tracks and burn their own CDs. Analysts were initially skeptical about the prospects for iTunes, wondering out loud what a computer manufacturer would know about the music business. To facilitate the market's understanding of its business model, Apple regularly published updates on the number of songs sold through iTunes on its web site. Fundamental investors who called Apple stores also noticed that there was an increasing acceleration to the number of iPods purchased, which was commensurate with the growth in popularity of the iTunes store.

Subsequent quarterly updates demonstrated an increasing positive correlation between tracks sold on iTunes and the amount of iPods sold. The success of iPod stemmed the decline in revenues that had caused previous growth investors to sell down Apple to its cash value. With each quarter of increasing revenue growth, investors returned to Apple,

rewarding the patient value buyers and marking a successful product-driven turnaround.

Developing an Investment Thesis

After you have investigated a potential investment idea and taken the time to speak with company management, the next step is to develop a workable investment thesis. This includes determining the current profile of the stock and identifying the key points that will attract the corresponding type of investor to the company.

The market valuation of a company fluctuates daily based on the perceived prospects of a company's future earnings. Inefficiencies occur when those future prospects are either too pessimistic or too optimistic relative to fundamental realities. Therefore it is equally important to find out what the consensus earnings and revenue expectations are for the company. Once you know what the consensus viewpoint is, assess the possibilities for variations.

The investment thesis should include a model based on management interviews to determine where the possible leverage points are that are not factored into consensus expectations. It is also important to independently confirm management's strategy by speaking with competitors, consultants, customers, and suppliers to support your investment thesis. Finally, compare that thesis with consensus perception and determine whether the potential upside meets your return objectives and time frames.

Assessing the FACTS: Financial, Accounting, Credibility, Timing, Sector

The following is a worksheet we call the FACTS to help support the investment thesis developed. Figure 6.1 provides a summary guide to this text describing the components of the FACTS.

Financial Comparable company analysis allows you to assess the company by financial metrics and see how it compares to competitors in the same industry. Such metrics include:

- Price-to-earnings (P/E) ratio (or multiple)—price divided by earnings.
- Enterprise multiple—enterprise value divided by EBITDA.
- Price-to-sales ratio—price divided by sales.
- Multiple of book value.
- Return of capital versus cost of capital.
- Discounted cash flow valuation.
- Market value of assets held on balance sheet.

Financial	Accounting	Credibility	Timing	Sector
P/E ratio	Earnings quality	Reputation and track record of management team	What is the catalyst that will drive the stock price appreciation?	Barriers to entry
Enterprise value/EBITDA	Conservative or aggressive accounting	How is Management rewarded/ compensated?	Multiple expansion	Market opportunity
Does return of capital exceed cost of capital	Are expenses capitalized?	Do they have a history of under promising and over-delivering?	Contract wins	Market trends
Price/sales	Change in auditors	Are they shareholder friendly?	Earnings announcements	Pricing power
Discounted cash flows	Deferred revenues rising or declining?	Insider ownership- Does management invest their savings with shareholders?	Seasonality of the business	Growth rate
Real asset value of the business	FIFO/LIFO	Communication- Does management have an effective communication strategy with the investment comunity?	How is the company perceived by Wall Street	Fragmented or consolidated? Supply chain
Comparable company analysis	Revenue recognition		Product roadmap	
	Off balance sheet items?			
	Cash earnings vs. GAAP earnings			

FIGURE 6.1 FACTS: What We Look for When Evaluating Potential Investments

Accounting This section relates to earnings quality. It is important to examine the quality of earnings to determine whether they are solid and sustainable. A strong company should achieve its growth without resorting to overly aggressive accounting. Here are some things to watch for.

- Check whether expenses are recognized immediately or capitalized over time.
- Track deferred revenue to see whether it is increasing or declining.
- Understand a company's revenue recognition policy as compared to current industry practices.
- Highlight any off-balance-sheet items and partnerships. For example, Enron's problems became fully exposed when the off-balance-sheet partnerships unraveled.
- Ask about any recent auditor changes.
- Distinguish between cash earnings and generally accepted accounting principles (GAAP) earnings, as well as any pro-forma projections.
- Inventory valuation done by first in, first out (FIFO) or last in, first out (LIFO). In an inflationary environment, FIFO will artificially expand gross margins whereas LIFO will more accurately reflect current market conditions.

Credibility Ultimately, the reputation of and successful execution by the management team determine whether a company can attract institutional

sponsorship. Many investors like to follow companies that have a history of underpromising and overdelivering. We prefer to invest in management teams whose interests are aligned with their shareholders. Therefore, we track the percentage of insider ownership relative to their compensation.

It is also important to understand what metrics are used to reward management. For example, if bonuses are calculated based on sales increases versus profitability, it might encourage management to take on unprofitable business deals in order to make their sales targets and achieve their bonus at the expense of overall profitability.

We also look for companies that have a clearly defined communication strategy with the investment community. Management teams that are accessible in both good and bad times give investors comfort by acknowledging the issues and factors that lead to their successes and failures.

Timing Formulate an action plan by creating a time line for your investment thesis to develop. This helps minimize the emotions caused by a stock's volatility and fosters a focus on the fundamentals rather than short-term gyrations.

- Map out the possible catalysts that will drive stock appreciation.
- Be aware of any public forum presentations, including earnings conference calls, sell-side conferences, or industry trade shows, that might lead to new information being disclosed.
- Understand the seasonality of the business and compare it to consensus expectations.
- Scale into the position by taking into account the daily trading liquidity. For more liquid stocks, you have the luxury of waiting until closer to the targeted time period before accumulating a position.
- For new product cycles, understand the ramp-up schedule and road map. Also understand the key inputs and outputs of the company's operations and look for leading indicators of change.
- Factor in the significance of new contract wins and how they impact the business model.
- Review your expectations of market growth and the business cycle. Identify the appropriate signals and triggers for entering, holding, and exiting the investment.

Sector Sector analysis provides a foundation for evaluating how a prospective portfolio company fits within the public markets. On a basic level, we seek to understand what the underlying market opportunity is. Important questions to ask include:

- Is there pricing power in the industry?
- Is the sector currently in favor or out of favor?

- What is the long-term industry growth rate?
- What are the barriers of entry for new competitors in the business?
- Is the sector fragmented or consolidated?
- Who has the largest market share in the industry?
- Who is adding or shrinking capacity in the industry and how does it affect pricing?
- Are there any disruptive technologies (e.g., digital music) or events (e.g., legislation) that may substantially change the market?

An investor who can predetermine where an industry is, relative to its business cycle, has the advantage of being the first to spot and take advantage of potential inflection points that may change consensus perceptions.

CASE STUDY

The best way to understand our investment process is to utilize a successful investment, BE Aerospace, as a case study. BE Aerospace (NASDAQ: BEAV) is a manufacturer of interior products for commercial and general aviation aircraft cabins. Historically, BE Aerospace's management had been quite astute at identifying key inflection points in the business cycle. Broad insider selling in early 2001, when the company was trading between $20 and $25, foretold the peak of the cycle. The 9/11 tragedy exacerbated the slowdown in the aerospace industry as many airlines canceled new plane orders due to falling traffic. By 2003, BE Aerospace had reached a low of $1.50 a share, which was lower than the $2.00 a share the company had earned in 1999. At that time, sell-side analysts were unanimously negative, rating BE Aerospace a strong sell and predicting impending bankruptcy.

Our insider buying screen alerted us that management began buying shares around the $6 level in 2004 (idea generation: insider buying). Intrigued, we looked at BE Aerospace's June 2004 10-Q SEC Filing, under the "Management's Discussion of Operating Results" section. All dollars mentioned in the filing reflect millions. The filing reads as follows:

> *This rapid decline in industry conditions caused us to implement a facility consolidation and integration plan designed to re-align our capacity and our cost structure with changed conditions in the airline industry. The facility consolidation and integration plan, which was completed as of December 31, 2003, included closing five facilities, relocating 12 major production lines and reducing workforce by approximately 1,500 employees, net of several hundred employees that were hired and trained to operate the relocated*

production lines. We believe these initiatives will enable us to significantly expand profit margins even at the current low level of revenues and even more so when industry conditions improve and demand increases. The total cost of this program was approximately $174.9, including $73.7 of cash charges. We believe the annual cash savings arising from this consolidation program are approximately $60.

The June 2004 10-Q SEC Filing continues by discussing the financial results:

The net sales for the three months ended June 30, 2004, were $185.3, an increase of $33.5 or 22.1% as compared to the same period in the prior year. Bookings for the quarter of approximately $285 were a record for any quarter in our history and were about $70 or 33% greater than the same period in the prior year. Backlog at June 30, 2004, of approximately $615, was up 23% above the June 30, 2003, backlog of $500. During 2004, we were selected by Thai and Malaysia Airlines, Qantas Airways and Emirates Airline to design, manufacture and install luxurious first class cabin interiors for their wide-body aircraft. The combined initial value of these four awards, which aggregate over $225, exclusive of option aircraft, and for which initial product deliveries are scheduled to begin in the second half of 2005, were the principal reasons for the backlog growth.

Analysts had been negative on BE Aerospace because of the financial troubles of the domestic airlines (consensus expectation). However, our research determined that the investment opportunity was in the international airlines that were upgrading their internal cabins as they purchased new models of Airbus and Boeing aircraft (investment thesis).

Our conversations with airlines such as Emirates Air and Singapore Airlines confirmed that financially healthy international airlines were willing to invest the money necessary to upgrade their first class cabins as "air suites." These suites resemble a private hotel room and would make long-haul travel more bearable for the frequent business traveler (third party confirmation).

In addition, management's attention to cost control, as highlighted in their June 2004 10-Q, prepared the company for the next aerospace up cycle. Our earnings model projected that the company could earn 55 cents in 2005 and $1.00 in 2006, through a combination of revenue growth and margin improvement (operating leverage).

Remarkably, investors had the same chance to buy with insiders at $6, a price which was only six times the 2006 projected earnings of $1.00, despite an implied growth rate of 50 percent (price inefficiency equals opportunity).

As of March 2006, BE Aerospace is trading at over $20, a gain of 230 percent over a 24-month period.

CONCLUSION

Fundamental investing consists of common sense and the dedication to dig for the facts and go where others fail to tread. In the end, there are multiple paths one can take to find a good stock. Each additional conversation or third party contact an investor has with a prospective investment is one step closer toward potentially finding out whether that stock can be the next BE Aerospace.

The art form of efficiently screening and finding the best companies takes time and experience to determine what works best for you. However, if you are willing to put in the extra effort, a wealth of tools and information awaits to help you identify, investigate, and evaluate investment opportunities.

In summary:

- Look for investment ideas beyond earnings reports and what Wall Street analysts propose.
- Evaluate opportunities not only by leveraging online information sources but also speaking with management teams and third party sources.
- Be aware of whether the stock you own is a growth or value stock, and create a suitable investment action plan accordingly.
- Formulate your investment thesis by careful research, and then use it to have the conviction to ride out the volatility from short-term price fluctuations.
- Utilize the FACTS as a framework to back up your investment thesis.
- Remember that value is often in the eyes of the beholder, so focus on the type of catalysts that will swing consensus sentiment to accept your investment thesis.
- Know your responses to signals and triggers for entering, holding, and exiting at the opportune time.

Most importantly, have fun doing it and enjoy the hunt.